MGT301 PRINCIPALE OF MARKETING Short Notes Chapter# 23~ 45

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Lesson – 23

New-product development
: The development of original products, product improvements, product modifications, and new brands through the firm's own R&D efforts.

Idea generation
: The systematic search for new-product ideas.

Idea screening
: Screening new-product ideas in order to spot good ideas and drop poor ones as soon as possible.

Product concept
: A detailed version of the new-product idea stated in meaningful consumer terms.

Concept testing
: Testing new-product concepts with a group of target consumers to find out if the concepts have strong consumer appeal.

Business analysis
: A review of the sales, costs, and profit projections for a new product to find out whether these factors satisfy the company's objectives.

Product development
: A strategy for company growth by offering modified or new products to current market segments.

Commercialization
: Introducing a new product into the market.

Test marketing
: The stage of new-product development in which the product and marketing program are tested in more realistic market settings.

Sequential product development
: A new-product development approach in which one company department works to complete its stage of the process before passing the new product along to the next department and stage.

Introduction stage
: The product life-cycle stage in which the new product is first distributed and made available for purchase.

Growth stage
: The product life-cycle stage in which a product's sales start climbing quickly.

Maturity stage
: The stage in the product life cycle in which sales growth slows or levels off.

Decline stage
: The product life-cycle stage in which a product's sales decline.

Innovators
: Innovators help get the product exposure but are not often perceived by the majority of potential buyers as typical consumers.

Early Adopters
: This group serves as opinion leaders to the rest of the market.

Laggards

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This group is suspicious of change and adopts only after the product is no longer considered an innovation.

Early Majority

Some 34% of the market that is the "typical consumer" but likely to adopt innovations a little sooner.

Late Majority

This group is skeptical and adopts innovations only after cost of the market has accepted the product.

Core product

Is the core, problem solving benefits that consumers are really buying when they obtain a product or service.

Actual product

May have as many as five characteristics that combine to deliver core product benefits.

Augmented product

Includes any additional consumer services and benefits built round the core and actual products.

LESSON – 24

Price the 2nd P of Marketing Mix.

A. Introduction

All profit and nonprofit organizations must set prices on their products and services. Price goes by many names (rent, tuition, fee, fare, rate, interest, toll, premium, et cetera). Price is the amount of money charged for a product or service or the sum of the values that consumers exchange for the benefits of having or using the product or service. Common mistakes that Companies make are:

1. Pricing is too cost-oriented.
2. Prices are not revised often enough to reflect market changes.
3. Prices do not take into account the other elements of the marketing mix.
4. Prices are not varied for different products, market segments, and purchase occasions.

B. Factors to Consider When Setting Prices

A company's racing decisions are affected by both internal company factors and external environmental factors

a) INTERNAL FACTORS Affecting Pricing Decision

Internal factors affecting pricing include the company's marketing objectives, marketing mix strategy, costs, and organizational considerations.

I. Marketing Objectives

Before setting price, the company must decide on its strategy for the product. If the company has selected its target market and positioning carefully, then its marketing mix strategy, including price, will be fairly straightforward.

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II. Costs

Costs set the floor for the price that the company can charge for its product. The company wants to charge a price that both covers all its costs for producing, distributing, and selling the product and delivers a fair rate of return for its effort and risk.

- Types of Costs

A company's costs take two forms, fixed and variable. Fixed costs (also known as overhead) are costs that do not vary with production or sales level.

- Costs at Different Levels of Production

To price wisely, management needs to know how its costs vary with different levels of production.

III. Organizational Considerations

Management must decide who within the organization should set prices.

b) EXTERNAL FACTORS Affecting Pricing Decisions

External factors that affect pricing decisions include the nature of the market and demand, competition, and other environmental elements.

I. The Market and Demand

Whereas costs set the lower limit of prices, the market and demand set the upper limit.

- Pricing in Different Types of Markets

The seller's pricing freedom varies with different types of markets. Economists recognize four types of markets, each presenting a different pricing challenge.

- Consumer Perceptions of Price and Value

In the end, the consumer will decide whether a product's price is right. Pricing decisions, like other marketing mix decisions, must be buyer oriented.

- Analyzing the Price–Demand Relationship

Each price the company might charge will lead to a different level of demand. The relationship between the price charged and the resulting demand level is shown in the demand curve in Figure.

The price elasticity of demand is given by the following formula:

Price Elasticity of Demand= %change in Quantity demanded / % change in Price

II. Competitors' Costs, Prices, and Offers

Another external factor affecting the company's pricing decisions is competitors' costs and prices and possible competitor reactions to

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the company's own pricing moves. When setting prices, the company also must consider other factors in its external environment.

Lesson – 25

PRICE THE 2ND P OF MARKETING MIX.

A. Setting Pricing Policy

Pricing policy setting starts with setting the pricing objective that can be: Profit Oriented(concerned with increase in profit), Sales Oriented (basically concerned with increase in sales) and Status Quo Oriented.

B. General Pricing Approaches

The price the company charges will be somewhere between one that is too low to produce a profit and one that is too high to produce any demand.

Break-even point

Companies set prices by selecting a general pricing approach that includes one or more of three sets of factors. We examine these approaches: the cost-based approach (cost-plus pricing, break-even analysis, and target profit pricing); the buyer-based approach (value-based pricing);and the competition-based approach (going-rate and sealed-bid pricing).

a) Cost-Based Pricing

Cost-Plus Pricing

The simplest pricing method is cost-plus pricing—adding a standard markup to the cost of the product.

Then the manufacturer's cost per toaster is given by:

Unit Cost = variable Cost + Fixed Cost

Price - Variable Cost

The manufacturer's markup price is given by:

Markup Price = Unit Cost

Price - Variable Cost

The manufacturer should consider different prices and estimate break-even volumes, probable demand, and profits for each.

b) Value-Based Pricing

An increasing number of companies are basing their prices on the product's perceived value. Value-based pricing uses buyers' perceptions of value, not the seller's cost, as the key to pricing.

c) Competition-Based Pricing

Consumers will base their judgments of a product's value on the prices that competitors charge for similar products.

C. New-Product Pricing Strategies

Pricing strategies usually change as the product passes through its life cycle. The introductory stage is especially challenging. Companies bringing out a new product face the challenge of setting prices for the first time. They can choose between two broad strategies: market-skimming pricing and market-penetration pricing.

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a) Market-Skimming Pricing

Many companies that invent new products initially set high prices to "skim" revenues layer by layer from the market. Intel is a prime user of this strategy, called market-skimming pricing.

b) Market-Penetration Pricing

Rather than setting a high initial price to skim off small but profitable market segments, some companies use market-penetration pricing. They set a low initial price in order to penetrate the market quickly and deeply—to attract a large number of buyers quickly and win a large market share.

D. Product Mix Pricing Strategies

The strategy for setting a product's price often has to be changed when the product is part of product mix. In this case, the firm looks for a set of prices that maximizes the profits on the total product mix.

a) Product Line Pricing

Companies usually develop product lines rather than single products. In product line pricing, management must decide on the price steps to set between the various products in a line.

b) Optional-Product Pricing

Many companies use optional-product pricing—offering to sell optional or accessory products along with their main product.

c) Captive-Product Pricing

Companies that make products that must be used along with a main product are using captive-product pricing.

d) By-Product Pricing

In producing processed meats, petroleum products, chemicals, and other products, there are often by-products. If the by-products have no value and if getting rid of them is costly, this will affect the pricing of the main product.

e) Product Bundle Pricing

Using product bundle pricing, sellers often combine several of their products and offer the bundle at a reduced price.

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PRICE THE 2ND P OF MARKETING MIX.

A. Price-Adjustment Strategies

Companies usually adjust their basic prices to account for various customer differences and changing situations.

a. Discount and Allowance Pricing

Most companies adjust their basic price to reward customers for certain responses, such as early payment of bills, volume purchases, and off-season buying. These price adjustments—called discounts and allowances.

A cash discount is a price reduction to buyers who pay their bills promptly.

A functional discount (also called a trade discount) is offered by the seller to trade channel members who perform certain functions, such as selling, storing, and record keeping.

seasonal discount is a price reduction to buyers who buy merchandise or services out of season.

Allowances are another type of reduction from the list price.

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b. Segmented Pricing

Companies will often adjust their basic prices to allow for differences in customers, products, and locations. In segmented pricing, the company sells a product or service at two or more prices, even though the difference in prices is not based on differences in costs.

c. Psychological Pricing

Price says something about the product.

d. Promotional pricing

Companies will temporarily price their products below list price and sometimes even below cost.

e. Geographical Pricing

A company also must decide how to price its products for customers located in different parts of the country or world.

f. International Pricing

Companies that market their products internationally must decide what prices to charge in the different countries in which they operate.

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Lesson – 27

PRICE THE 2ND P OF MARKETING MIX.

A. Price Changes

After developing their pricing structures and strategies, companies often face situations in which they must initiate price changes or respond to price changes by competitors.

a. Initiating Price Changes

In some cases, the company may find it desirable to initiate either a price cut or a price increase. In both cases, it must anticipate possible buyer and competitor reactions.

i. Initiating Price Cuts

Several situations may lead a firm to consider cutting its price. One of the such
circumstance is excess capacity.

ii. Initiating Price Increases

A successful price increase can greatly increase profits.

b. Buyer Reactions to Price Changes

Whether the price is raised or lowered, the action will affect buyers, competitors, distributors, and suppliers and may interest government as well.

c. Competitor Reactions to Price Changes

A firm considering a price change has to worry about the reactions of its competitors as well as its customers. Competitors are most likely to react when the number of firms involved is small, when the product is uniform, and when the buyers are well informed.

d. Responding to Price Changes

The firm needs to consider several issues: Why did the competitor change the

price? Was it to take more market share, to use excess capacity, to meet changing cost conditions, or to lead an industry wide price change? Is the price change temporary or permanent?

Lesson – 28

PLACE- THE 3RD P OF MARKETING MIX.

A. Marketing Channel

A set of interdependent organizations involved in the process of making a product or service available for use or consumption by the consumer or business user.

B. Why Are Marketing Intermediaries Used?

The use of intermediaries results from their greater efficiency in making goods available to target markets. Through their contacts, experience, specialization, and scale of operation, intermediaries usually offer the firm more than it can achieve on its own.

C. Distribution Channel Functions

The distribution channel moves goods and services from producers to consumers. It overcomes the major time, place, and possession gaps that separate goods and services from those who would use them. Members of the marketing channel perform many key functions:

- Information:
- Promotion:
- Contact:
- Matching:
- Negotiation:
- Physical distribution:
- Financing:
- Risk taking:

D. Number of Channel Levels

Distribution channels can be described by the number of channel levels involved.

E. Channel Behavior and Organization

Distribution channels are more than simple collections of firms tied together by various flows. They are complex behavioral systems in which people and companies interact to accomplish individual, company, and channel goals.

F. Vertical Marketing Systems

Historically, distribution channels have been loose collections of independent companies, each showing little concern for overall channel performance.

The VMS can be dominated by the producer, wholesaler, or retailer. Vertical marketing systems came into being to control channel behavior and manage channel conflict.

a. Corporate VMS

A corporate VMS combines successive stages of production and distribution under single ownership.

b. Contractual VMS

A contractual VMS consists of independent firms at different levels of production and distribution who joins together through contracts to obtain more economies or sales impact than each could achieve alone.

c. Administered VMS

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An administered VMS coordinates successive stages of production and distribution, not through common ownership or contractual ties but through the size and power of one of the parties.

G. Horizontal Marketing Systems

The horizontal marketing system, in which two or more companies at one level join together to follow a new marketing opportunity.

H. Hybrid Marketing Systems

In the past, many companies used a single channel to sell to a single market or market segment.

Hybrid Marketing Channel

Hybrid channels offer many advantages to companies facing large and complex markets.

I. Channel Design Decisions

We now look at several channel decisions manufacturers face. In designing marketing channels, manufacturers struggle between what is ideal and what is practical.

a. Analyzing Consumer Service Needs

Designing the distribution channel starts with finding out what targeted consumers want from the channel.

b. Setting Channel Objectives and Constraints

Channel objectives should be stated in terms of the desired service level of target consumers.

Usually, a company can identify several segments wanting different levels of channel service.

c. Identifying Major Alternatives

When the company has defined its channel objectives, it should next identify its major channel alternatives in terms of types of intermediaries, the number of intermediaries, and the responsibilities of each channel member.

d. Types of Intermediaries

A firm should identify the types of channel members available to carry out its channel work.

e. Number of Marketing Intermediaries

Companies must also determine the number of channel members to use at each level. Three strategies are available: intensive distribution, exclusive distribution, and selective distribution.

J. Channel Management Decisions

Channel management calls for selecting and motivating individual channel members and evaluating their performance overtime.

a. Selecting Channel Members

Producers vary in their ability to attract qualified marketing intermediaries. Some producers have no trouble signing up channel members.

b. Motivating Channel Members

Once selected, channel members must be motivated continuously to do their best. The company must sell not only through the intermediaries but to them.

c. Evaluating Channel Members

The producer must regularly check the channel member's performance against standards

Changing Channel Organization

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Changes in technology and the explosive growth of direct and online marketing are having a profound impact on the nature and design of marketing channels.

Lesson – 29

LOGISTIC MANAGEMENT

A. Push Versus Pull Strategy:

A promotion strategy that calls for using the sales force and trade promotion to push the Product through the channel is called push strategy.

B. Physical Distribution and Logistics Management

Companies must decide on the best way to store, handle, and move their products and services so that they are available to customers in the right assortments, at the right time, and in the right place.

a. Nature and Importance of Physical Distribution and Marketing Logistics

To some managers, physical distribution means only trucks and warehouses. But modern logistics is much more than this. Physical distribution—or marketing logistics—involves planning, implementing, and controlling the physical flow of materials, final goods, and related information from points of origin to points of consumption to meet customer requirements at a profit.

b. Goals of the Logistics System

Some companies state their logistics objective as providing maximum customer service at the least cost. Unfortunately, no logistics system can both maximize customer service and minimize distribution costs. Maximum customer service implies rapid delivery, large inventories, flexible assortments, liberal returns policies, and other services.

c. Major Logistics Functions

Given a set of logistics objectives, the company is ready to design a logistics system that will minimize the cost of attaining these objectives. The major logistics functions include order processing, warehousing, inventory management, and transportation.

i. Order Processing

Orders can be submitted in many ways—by mail or telephone, through salespeople, or via computer and EDI. In some cases, the suppliers might actually generate orders for their customers.

ii. Warehousing

Every company must store its goods while they wait to be sold. A storage function is needed because production and consumption cycles rarely match. A company must decide on how many and what types of warehouses it needs and where they will be located.

iii. Inventory

Inventory levels also affect customer satisfaction. The major problem is to maintain the delicate balance between carrying too much inventory and carrying too little. Carrying too much inventory results in higher-than-necessary inventory-carrying costs and stock obsolescence.

iv. Transportation

Marketers need to take an interest in their company's transportation decisions. The choice of transportation carriers affects the pricing of products, delivery performance, and condition of the goods when they arrive

d. Integrated Logistics Management

Today, more and more companies are adopting the concept of integrated logistics

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Management. This concept recognizes that providing better customer service and trimming distribution costs requires teamwork, both inside the company and among all the marketing channel organizations.

Cross-Functional Teamwork Inside the Company

In most companies, responsibility for various logistics activities is assigned to many different functional units—marketing, sales, finance, manufacturing, purchasing.

e. Building Channel Partnerships

The members of a distribution channel are linked closely in delivering customer satisfaction and value. One company's distribution system is another company's supply system.

f. Third-Party Logistics

Companies may use third-party logistics providers for several reasons. First, because getting the product to market is their main focus, these providers can often do it more efficiently and at lower cost than clients whose strengths lie elsewhere.

Lesson – 30

RETAILING AND WHOLESALING.

A. Retailing

Retailing includes all the activities involved in selling goods or services directly to final consumers for their personal, no business use.

a. Types of Retailers:

Retail stores come in all shapes and sizes, and new retail types keep emerging.. They can be classified in terms of several characteristics, including the amount of service they offer, the breadth and depth of their product lines, the relative prices they charge, and how they are organized.

Amount of Service

Different products require different amounts of service, and customer service preferences vary. Retailers may offer one of three levels of service—self-service, limited service, and fullservice.Self-service retailers serve customers who are willing to perform their own "locate-compareselect"pocess to save money.

Product Line

Retailers also can be classified by the length and breadth of their product assortments. Some retailers, such as specialty stores, carry narrow product lines with deep assortments within those lines.

Convenience stores

Convenience stores are small stores that carry a limited line of high-turnover convenience goods.

Relative Prices

Retailers can also be classified according to the prices they charge.

Discount Stores:

A discount store sells standard merchandise at lower prices by accepting lower margins and selling higher volume.

Off-Price Retailers

When the major discount stores traded up, a new wave of off-price retailers moved in to fill the low-price, high-volume gap.

Independent off-price retailers

Independent off-price retailers are either owned and run by entrepreneurs or are divisions of larger retail corporations.

Factory outlets

sometimes group together in factory outlet malls and value-retail centers, where dozens of outlet stores offer prices as low as 50 percent below retail on a wide range of items.

Warehouse clubs (or wholesale clubs, or membership warehouses)

Warehouse clubs operate in huge, drafty, warehouse like facilities and offer few frills.

b. Retailer Marketing Decisions

Retailers are searching for new marketing strategies to attract and hold customers.

i. Target Market and Positioning Decision

Retailers first must define their target markets and then decide how they will position themselves in these markets.

ii. Product Assortment and Services Decision

Retailers must decide on three major product variables: product assortment, services mix, and store atmosphere.

iii. Price Decision

A retailer's price policy is a crucial positioning factor and must be decided in relation to its target market, its product and service assortment, and its competition.

iv. Promotion Decision

Retailers use the normal promotion tools—advertising, personal selling, sales promotion, public relations, and direct marketing—to reach consumers.

v. Place Decision

Retailers often cite three critical factors in retailing success: location, location, and location! A retailer's location is key to its ability to attract customers.

vi. Site Selection for Retail Location

Site selection is an important decision for retailers planning to open new stores.

c. The Future of Retailing

Retailers operate in a harsh and fast-changing environment, which offers threats as well as opportunities.

New Retail Forms and Shortening Retail Life Cycles

New retail forms continue to emerge to meet new situations and consumer needs, but the life cycle of new retail forms is getting shorter.

• Growth of No store Retailing

Although most retailing still takes place the old-fashioned way across countertops in stores, consumers now have an array of alternatives, including mail order, television, phone, and online shopping. "

• Increasing Intertype Competition

Today's retailers increasingly face competition from many different forms of retailers.

• The Rise of Mega retailers

The rise of huge mass merchandisers and specialty superstores, the formation of vertical marketing systems and buying alliances, and a rash of retail mergers and acquisitions have created a core of superpower mega retailers.

• Growing Importance of Retail Technology

Retail technologies are becoming critically important as competitive tools.

B. Wholesaling

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Wholesaling includes all activities involved in selling goods and services to those buying for resale or business use. We call wholesalers those firms engaged primarily in wholesaling activity.

a. Types of Wholesalers

Wholesalers fall into three major groups : merchant wholesalers, brokers and agents, and manufacturers' sales branches and offices.

i. Merchant wholesalers

Independently owned businesses that take title to the merchandise they handle.

• Full-service wholesalers

Provide a full line of services: carrying stock, maintaining a sales force, offering credit, making deliveries, and providing management assistance. There are two types:

Wholesale merchants:

Wholesale merchants Sell primarily to retailers and provide a full range of services. General-merchandise wholesalers carry several merchandise lines, whereas general-line wholesalers carry one or two lines in greater depth.

Industrial distributors:

Industrial distributors Sell to manufacturers rather than to retailers. Provide several services, such as carrying stock, offering credit, and providing delivery. May carry a broad range of merchandise, a general line, or a specialty line.

• Limited-service wholesalers:

Offer fewer services than full-service wholesalers. Limited-service wholesalers are of several types:

Cash-and-carry wholesalers: Carry a limited line of fast-moving goods and sell to small retailers for cash.

Truck wholesalers (or truck jobbers): Perform primarily a selling and delivery function. Carry a limited line of semi perishable merchandise (such as milk, bread, snack foods), whichthey sell for cash as they make their rounds to supermarkets, small groceries, hospitals,restaurants, factory cafeterias, and hotels.

Drop shippers: Do not carry inventory or handle the product. On receiving an order, they select a manufacturer, who ships the merchandise directly to the customer.

Rack jobbers: Serve grocery and drug retailers, mostly in nonfood items.

Producers' cooperatives :Owned by farmer members and assemble farm produce to sell in local markets.

Mail-order wholesalers: Send catalogs to retail, industrial, and institutional customers featuring jewelry, cosmetics, specialty foods, and other small items.

ii. Brokers and agents

Do not take title to goods. Main function is to facilitate buying and selling, for which they earn a commission on the selling price. Generally, specialize by product line or customer types.

• Brokers:

Chief function is bringing buyers and sellers together and assisting in negotiation.

• Agents:

Represent either buyers or sellers on a more permanent basis than brokers do. There are several types:

Manufacturers' agents: Represent two or more manufacturers of complementary lines. A

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formal written agreement with each manufacturer covers pricing, territories, order handling, delivery service and warranties, and commission rates.

Selling agents: Have contractual authority to sell a manufacturer's entire output. The Manufacturer either is not interested in the selling function or feels unqualified.

Purchasing agents: Generally has a long-term relationship with buyers and make Purchases for them, often receiving, inspecting, warehousing, and shipping the merchandise to the buyers.

Commission merchants: Take physical possession of products and negotiate sales.

iii. Manufacturers' and retailers' branches and offices

Wholesaling operations conducted by sellers or buyers themselves rather than through independent wholesalers.

Sales branches and offices: Set up by manufacturers to improve inventory control, selling, and promotion.

Purchasing offices: Perform a role similar to that of brokers or agents but are part of the buyer's organization.

b. Wholesaler Marketing Decisions

Wholesalers have experienced mounting competitive pressures in recent years.

i. Target Market and Positioning Decision

Like retailers, wholesalers must define their target markets and position themselves effectively—they cannot serve everyone.

ii. Marketing Mix Decisions

Like retailers, wholesalers must decide on product assortment and services, prices, promotion, and place. The wholesaler's "product" is the assortment of products and services thatit offers.

Lesson œ 31

Distribution channel

A set of interdependent organizations involved in the process of making a product or service available for use or consumption by the consumer or business user.

Channel level

A layer of intermediaries that performs some work in bringing the product and its ownership closer to the final buyer.

Direct marketing channel

A marketing channel that has no intermediary levels.

Indirect marketing channel

Containing one or more intermediary levels.

Channel conflict

Disagreement among marketing channel members on goals and roles—who should do what and for what rewards.

Conventional distribution channel

A channel consisting of one or more independent producers, wholesalers, and retailers, each a separate business seeking to maximize its own profits even at the expense of profits for the system as a whole.

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Vertical marketing system (VMS)
: A distribution channel structure in which producers, wholesales, and retailers act as a unified system.

Corporate VMS
: A vertical marketing system that combines successive stages of production and distribution under single ownership—channel leadership is established through common ownership.

Contractual VMS
: A vertical marketing system in which independent firms at different levels of production and distribution join together through contracts to obtain more economies or sales impact than they could achieve alone.

Franchise organization
: A contractual vertical marketing system in which a channel member, called a franchiser, links several stages in the production-distribution process.

Administered VMS
: A vertical marketing system that coordinates successive stages of production and distribution, not through common ownership or contractual ties but through the size and power of one of the parties.

Horizontal marketing system
: A channel arrangement in which two or more companies at one level join together to follow a new marketing opportunity.

Hybrid marketing channel
: Multi-channel distribution system in which a single firm sets up two or more marketing channels to reach one or more customer segments.

Intensive distribution
: Stocking the product in as many outlets as possible.

exclusive distribution
: Giving a limited number of dealers the exclusive right to distribute the company's products in their territories.

Selective distribution
: The use of more than one, but fewer than all, of the intermediaries who are willing to carry the company's products.

Physical distribution/marketing logistics
: The tasks involved in planning, implementing, and controlling the physical flow of materials, final goods, and related information from points of origin to points of consumption to meet customer requirements at a profit.

Distribution center
: A large, highly automated warehouse designed to receive goods from various plants and suppliers, take orders, fill them efficiently, and deliver goods to customers as quickly as possible.

Integrated logistics management
: The logistics concept that emphasizes teamwork, both inside the company and among all the marketing channel organizations, to maximize the performance of the entire distribution system.

Third-party logistics provider
: An independent logistics provider that performs any or all of the functions required to get their clients' product to market.

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Retailing

Retailing includes all the activities involved in selling goods or services directly to final consumers for their personal, no business use.

Wholesaling

Wholesaling includes all activities involved in selling goods and services to those buying for resale or business use.

Lesson œ 32

PROMOTION THE 4TH P OF MARKETING MIX

A. The Marketing Communications

Modern marketing calls for more than just developing a good product, pricing it attractively, and making it available to target customers. Companies must also communicate with current and prospective customers, and what they communicate should not be left to chance.

B. The Marketing Communications Mix.

A company's total marketing communications mix—also called its promotion mix consists of the specific blend of advertising, personal selling, sales promotion, public relations, and direct marketing tools that the company uses to pursue its advertising and marketing objectives.

C. Integrated Marketing Communications

During the past several decades, companies around the world have perfected the art of mass marketing—selling highly standardized products to masses of customers. In the process, they have developed effective mass-media advertising techniques to support their mass-marketing strategies.

D. The Changing Communications Environment

Two major factors are changing the face of today's marketing communications. First, as mass markets have fragmented, marketers are shifting away from mass marketing. Second, vast improvements in information technology are speeding the movement toward segmented marketing.

E. The Need for Integrated Marketing Communications

The shift from mass marketing to targeted marketing, and the corresponding use of a richer mixture of communication channels and promotion tools, poses a problem for marketers.

F. A View of the Communication Process

Integrated marketing communications involves identifying the target audience and shaping a well coordinated promotional program to elicit the desired audience response.

G. Steps in Developing Effective Communication

The marketing communicator must do the following:

- Identify the target audience;
- determine the communication objectives;
- design a message;
- choose the media through which to send the message;
- select the message source; and collect feedback.

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H. Setting the Total Promotion Budget

One of the hardest marketing decisions facing a company is how much to spend on promotion. How does a company decide on its promotion budget?

a. Affordable Method

Some companies use the affordable method: They set the promotion budget at the level they think the company can afford. Small businesses often use this method, reasoning that the company cannot spend more on advertising than it has.

b. Percentage-of-Sales Method

Other companies use the percentage-of-sales method, setting their promotion budget at a certain percentage of current or forecasted sales.

c. Competitive-Parity Method

Still other companies use the competitive-parity method, setting their promotion budgets to match competitors' outlays.

d. Objective-and-Task Method

The most logical budget-setting method is the objective-and-task method, whereby the company sets its promotion budget based on what it wants to accomplish with promotion.

I. Setting the Overall Promotion Mix

he company now must divide the total promotion budget among the major promotion tools—advertising, personal selling, sales promotion, public relations, and direct marketing.

a. The Nature of Each Promotion Tool

Each promotion tool has unique characteristics and costs. Marketers must understand these characteristics in selecting their tools.

- Advertising
- Personal Selling
- Sales Promotion
- Public Relations
- Direct Marketing

b. Promotion Mix Strategies

Marketers can choose from two basic promotion mix strategies—push promotion or pull promotion. A push strategy involves "pushing" the product through distribution channels to final consumers. Using a pull strategy, the producer directs its marketing activities (primarily advertising and consumer promotion) toward final consumers to induce them to buy the product.

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Lesson œ 33

ADVERTISING

A. ADVERTISING

Any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor is termed as advertising.

B. The Five M's of Advertising

The five M's are basically the different important decisions that are to be taken while designing the advertising campaign. The five M's of advertising are:

- Mission
- Money
- Message
- Media
- Measurement

C. Advertising decisions

Marketing management must take five important decisions when developing an advertising program:

a. Setting advertising objectives.
b. Setting advertising budgets.
c. Developing advertising strategy.v
  - a). Message decisions.
  - b). Media decisions.
d. Evaluating advertising campaigns.

a. Setting Advertising Objectives

Setting advertising objectives is the first step in developing an advertising program. Advertising objectives can be classified by primary purpose as:

1). Informative advertising, which is used to inform consumers about a new product or feature or to build primary demand.

2). Persuasive advertising which is used to build selective demand for a brand by persuading consumers that it offers the best quality for their money.

3). Comparison advertising which is advertising that compares one brand directly or indirectly to one or more other brands.

4). Reminder advertising, which is used to keep consumers thinking about a product. This form of advertising is more important for mature products.

b. Setting the Advertising Budget

After determining its advertising objectives, the marketer must set the advertising budget for each product and market.

c. Developing Advertising Strategy

Advertising strategy consists of two major elements:

a) Creating advertising messages
b) Selecting advertising media.

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Lesson œ 34

SALES PROMOTION

b) Selecting advertising media.

The major steps in media selection are:

i. Deciding on reach, frequency, and impact;
ii. Choosing among major media types;
iii. Selecting specific media vehicles;

iv. Deciding on media timing.

I. Deciding on Reach, Frequency, and Impact

To select media, the advertiser must decide what reach and frequency are needed to achieve advertising objectives. Reach is a measure of the percentage of people in the target market who are exposed to the ad campaign during a given period of time.

II. Choosing Among Major Media Types

The media planner has to know the reach, frequency, and impact of each of the major media types. The major media types are newspapers, television, direct mail, radio, magazines, outdoor, and the Internet. Each medium has advantages and limitations.

III. Selecting Specific Media Vehicles

The media planner now must choose the best media vehicles—specific media within each general media type.

IV. Deciding on Media Timing

The advertiser must also decide how to schedule the advertising over the course of a year. Suppose sales of a product peak in December and drop in March.

a. Evaluating Advertising

The fourth step in the advertising campaign is evaluation of the campaign. The advertising program should evaluate both the communication effects and the sales effects of advertising regularly.

b. Ways to Handle Advertising

Different companies organize in different ways to handle advertising. In small companies, advertising might be handled by someone in the sales department. Large companies set up advertising departments whose job it is to set the advertising budget, work with the ad agency, and handle other advertising not done by the agency.

A. Sales Promotion

Sales promotion consists of short-term incentives to encourage the purchase or sale of a product or service.

a. Sales Promotion Objectives

Sales promotion objectives vary widely. Sellers may use consumer promotions to increase short term sales or to help build long-term market share.

b. Major Sales Promotion Tools

Many tools can be used to accomplish sales promotion objectives. Descriptions of the main consumer, trade, and business promotion tools follow.

Consumer Promotion Tools

The main consumer promotion tools include samples, coupons, cash refunds, price packs, premiums, advertising specialties, patronage rewards, point-of-purchase displays and demonstrations, and contests, sweepstakes, and games.

- Samples are offers of a trial amount of a product. Sampling is the most effective—but most expensive—
- Coupons are certificates that give buyers a saving when they purchase specified products.

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• Cash refund offers (or rebates) are like coupons except that the price reduction occurs after the purchase rather than at the retail outlet.
• Price packs (also called cents-off deals) offer consumers savings off the regular price of a product.
• Premiums are goods offered either free or at low cost as an incentive to buy a product, ranging from toys included with kids' products to phone cards, compact disks.
• Advertising specialties are useful articles imprinted with an advertiser's name given as gifts to consumers.
• Patronage rewards are cash or other awards offered for the regular use of a certain company's products or services.
• Point-of-purchase (POP) promotions include displays and demonstrations that take place at the point of purchase or sale.
• Contests, sweepstakes, and games give consumers the chance to win something, such as cash, trips, or goods, by luck or through extra effort.

c. Developing the Sales Promotion Program

The marketer must make several other decisions in order to define the full sales promotion program. First, the marketer must decide on the size of the incentive. A certain minimum incentive is necessary if the promotion is to succeed; a larger incentive will produce more sales response. The marketer also must set conditions for participation. Incentives might be offered to everyone or only to select groups.

The marketer must decide how to promote and distribute the promotion program itself. The length of the promotion is also important.

d. Sales Promotion Uses and Limitations of Sales Promotion

Sales promotion tools are effective for the organizations in different aspects like they can be used to Introduce new products, making existing customers to buy more.

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Lesson œ 35

PERSONAL SELLING

A. Personal selling

The direct presentation of a product to a prospective customer by a representative of the selling organization is termed as personal selling.

a. The Nature of Personal Selling

Selling is one of the oldest professions in the world. Today, most salespeople are well-educated, well-trained professionals who work to build and maintain long-term relationships with customers.

b. The Role of the Sales Force

Personal selling is the interpersonal arm of the promotion mix. Sales people represent the company to the customer and act as an intermediary linking the customer to the company.

c. Salespeople.

Salespeople act for a company and perform one of more of the following: prospecting of new business; communicating with potential and existing customers; servicing customers and information gathering.

d. Sales management.

Sales management involves the analysis, planning, implementation and control of sales force activities.

e. The characteristics of personal selling

Personal selling is having flexibility of system it provides one to one contact between the buyers and sellers. It Identify specific sales prospects the first step in the selling process is prospecting identifying qualified potential customers.

f. Builds Relationships

The principles of personal selling as just described are transaction oriented—their aim is to help salespeople close a specific sale with a customer.

g. Basic Sales Tasks

- Order Getting
- Order Taking
- Supporting

h. The advantages of personal selling

- It can be adapted for individual customers.
- It can be focused on prospective customers.
- It results in the actual sale, while most other forms of promotion are used in moving the customer closer to the sale.

i. The disadvantages of personal selling

- Expensive per contact
- Many sales calls may be needed to generate a single sale
- Labor intensive
- It is costly to develop and operate a sales force.
- It may be difficult to attract high-caliber people.

j. Types of the personal selling

There are two types of personal selling:

The customers come to the salespeople.

Mostly involves retail-store selling. Most salespeople fall into this category.

The salespeople go to the customers.

Usually represent producers or wholesaling middlemen and sell to business users. Some outside selling is relying more on telemarketing.

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k. Characteristics of Professional Selling

Sales reps engage in a total selling job. Reps work closely with customers. Sales reps organize much of their own time and effort.

l. Contributions of Personal Selling to Marketing:

Today, most professional salespeople are well-educated, well-trained men and women who work to build long-term, value-producing relationships with their customers. They succeed not by taking customers in but by helping them out.

m. Changing patterns in personal selling

Traditionally, personal selling has been a face-toface, one-on-one situation. But now new trends and patterns are emerging which are:

- Selling Centers — Team Selling
- Systems Selling
- Global Sales Teamsv
- Relationship Selling
- Telemarketing

n. Salesperson Attributes:

Salesperson is an individual(like: Serving, and Information gathering Salespeople, sales representatives, account executives, sales consultants, sales engineers, agents, district managers, marketing representatives, account development reps, etc) acting for a company

Lesson 36

SALES FORCE MANAGEMENT

A. The Role of the Sales Force

Advertising consists of one-way, non personal communication with target consumer groups.

Personal selling involves two-way, personal communication between salespeople and individual consumers.

B. The Personal Selling Process

The selling process consists of several steps that the salesperson must master. These steps are:

1). Prospecting and qualifying. In this step the salesperson identifies qualified potential customers.

2). Qualifying lead is the process of identifying good ones and screening out poor ones.

3). Reproach is the step in which the salesperson learns as much as possible about a prospective customer before making a sales call.

4) During the approach step, the salesperson should know how to meet the buyer, make him satisfied and get the relationship off to a good start.

5) The presentation and demonstration is the step in which the salesperson tells the product "story" to the buyer, showing how the product will make

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or save money for the buyer.

6) Handling objections is the step in the selling process in which the salesperson seeks out, clarifies, and overcomes customer objections regarding buying.

7) Closing occurs when the salesperson asks the customer for an order.

8). The follow-up occurs after the sale and ensures customer satisfaction.

C. Managing the Sales Force

Sales force management is the analysis, planning, implementation, and control of sales force activities.

It includes:

1. Designing sales force strategy and structure,
2. Recruiting, selecting
3. Training
4. Compensating
5. Supervising
6. Evaluating the firm's salespeople

Lesson œ 37

SALES FORCE MANAGEMENT

D. Direct Marketing

Direct marketing consists of direct communications with carefully targeted individual consumers to obtain an immediate response. Mass marketing is targeting broadly with standardized messages and marketing offers distributed through intermediaries.

a. What is Direct Marketing?

Mass marketers have typically sought to reach millions of buyers with a single product and a standard message delivered through the mass media. Under this mass-marketing model, most marketing involved one-way Communications aimed at consumers, not two-way interactions with them.

b. The New Direct Marketing Model

Early direct marketers--catalog companies, direct mailers, and telemarketers--gathered customer names and sold goods mainly through the mail and by telephone.

c. Benefits and Growth of Direct Marketing

Direct marketing brings many benefits to both buyers and sellers. As a result, direct marketing is growing very rapidly.

i. Benefits to Buyers

Direct marketing benefits buyers in many ways:

1). It is convenient.

2). Buying is easy and private.

3). Greater product access and selection.

4). Provides a wealth of comparative information.

5). Online buying is interactive and immediate.

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ii. Benefits to Sellers

Sellers benefit by:

1). Direct marketing is a powerful tool for customer relationship building.

2). Direct marketing can also be timed to reach prospects at just the right moment.

3). Reduce costs and increase speed and efficiency.

4). Online marketing offers greater flexibility.

5). The Internet is a truly global medium.

d. The Growth of Direct Marketing

Sales through traditional direct marketing channels have been growing rapidly.

e. Forms of Direct Marketing

Major forms of direct marketing are summarized below:

i. Face-to-Face Selling

The original and oldest form of direct marketing is the sales.

ii. Telemarketing

In telemarketing telephone is used to sell directly to consumers.

iii. Direct-Mail Marketing

Direct mail marketing involves sending an offer, announcement, reminder, or other item to a person at a particular address.

iv. Catalog Marketing

A catalog is a printed, bound piece of at least eight pages, selling multiple products, and offering a direct ordering mechanism.

v. Direct-Response Television Marketing

Direct-response television marketing takes one of two major forms.

1). Direct-response advertising occurs when marketers air television spots or infomercials.

2). Home shopping channels are entire programs or channels dedicated to selling goods and services.

vi. Kiosk Marketing

Some companies place information and ordering machines (called kiosks) in stores, airports, and other locations (in contrast to machines which dispense products--vending machines).

vii. Online Marketing and Electronic Commerce

Online marketing is conducted through interactive online computer systems, which link consumers with sellers electronically.

- Rapid Growth of Online Marketing

  electronic marketplaces (these are "market spaces" in which sellers offer their products and services electronically, and buyers search for information, identify what they want, and place orders using a credit card or other means of electronic payment).

- The Online Consumer

  The Internet user is not a pasty-faced computer nerd. As a whole, Internet users are an elite group.

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• Creating Online Marketing

Marketers can conduct online marketing in three ways:

1).By creating an electronic online presence.

2). Web sites vary in purpose and content.

3).Creating a Web site is one thing; getting people to visit the site is another.

f. Customer Databases and Direct Marketing

There are differences between mass marketing and so-called one-to-one marketing. A customer database is an organized collection of comprehensive data about individual customers or prospects, including geographic, demographic, psychographics, and behavioral data. Database marketing is the process of building, maintaining, and using customer database and other database for the purposes of contacting and transacting with customers.

Lesson œ 38

Advertising:

Any paid form of non personal presentation and promotion of ideas, goods, or services by an identified sponsor.

Personal selling:

Personal presentation by the firm's sales force for the purpose of making sales and building customer relationships.

Sales promotion:

Short-term incentives to encourage the purchase or sale of a product or service.

Public relations:

Building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.

Direct marketing:

Direct connection with carefully targeted individual consumers to both obtain an immediate response and cultivate lasting customer relationships—the use of telephone, mail, fax, e-mail, the Internet, and other tools to communicate directly with specific consumers.

Personal Communication Channels:

In personal communication channels, two or more people communicate directly with each other.

Non-personal Communication Channels:

Non personal communication channels are media that carry messages without personal contact or feedback.

Public Relations:

Public relations involves building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.

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Advertising:

Advertising can reach masses of geographically dispersed buyers at a low cost per exposure, and it enables the seller to repeat a message many times

Publicity:

Public information is information about a company's goods or services appearing in the mass media as a news item. Stimulation of demand for a good, service, place, idea, person, or organization by unpaid placement of commercially significant news or favorable media presentations.

Sales Promotion:

Sales promotion consists of short-term incentives to encourage the purchase or sale of a product or service.

Catalog Marketing:

Catalog marketing involves selling through catalogs mailed to a select list of customers or made available in stores

Kiosk Marketing:

Some companies place information and ordering machines (called kiosks) in stores, airports, and other location

Database marketing:

It is the process of building, maintaining, and using customer databases and other databases for the purposes of contacting and transacting with customers.

Lesson œ 40

Competitive Strategies

i. Approaches to Marketing Strategy

No one strategy is best for all companies. Companies differ on how they approach the strategy planning process. Approaches to marketing strategy often pass through three stages:

1). Entrepreneurial marketing—companies started by individuals.

2). Formulated marketing—as small companies achieve success, they inevitably move toward more formulated marketing (formulated marketing strategies).

3). Entrepreneurial marketing—companies that became lost and re-established themselves with the entrepreneurial spirit and actions that made them successful in the first place.

ii. Basic Competitive Strategies

Basic competitive positioning winning strategies include (as suggested by Michael Porter):

1). Overall cost-leadership—cost-leadership is gained by being the lowest-cost producer in the industry.

2). Differentiation—this strategy creates competitive advantage by offering products with unique customer benefits or features not available from competitive offerings.

3). Focus—this narrow-focus strategy achieves competitive advantage by concentrating on narrow segments of a larger market.

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iii. Competitive Positions

Firms competing in a given target market, at any point in time, differ in their objectives and resources. These firms might take four different forms:

1). Market leader—the firm with the largest market share.

2). Market challenger—the runner-up firm, fighting to overtake the leader.

3). Market follower—the firm that also has runner-up status but seeks to maintain share and not rock the boat.

4). Market niche—the firm that serves small segments that the other firms overlook or ignore.

iv. Market Leader Strategies

Market leader strategies—most industries contain an acknowledged market leader.

v. Market Challenger Strategies

These firms are usually the second, third, or lower in an industry. These runner-up firms can adopt one of two competitive strategies:

vi. Market Follower Strategies

Market follower strategies—not all runner-up companies want to challenge the market leader. The follower can learn from the leader's successes and failures and copy or improve on the leader's product and programs, usually with less investment.

vii. Market Niche Strategies

Market niche strategies—mass marketers achieve high volume, the niche achieves high margins.

Companies have moved through four orientations over the years:

1). Product-oriented—pay little attention to either customers or competitors.

2). Customer-oriented—started to pay attention to customers.

3). Competitor-oriented—when they started to pay attention to customers, they became competitor-oriented.

4). Market-oriented—this advanced form balances attention between customers and competition.

Lesson œ 41

BASIC COMPETITIVE STRATEGY PROFILES

i. Global Leader Strategy

Innovator in technologies, products and markets with high global share and wide country market coverage

ii. Global Challenger Strategy 1

Frontal or encirclement attack on the leader in all markets with increasing country market coverage and high global share but less than the leader.

iii. Global Challenger Strategy 2

Flanking or bypassing world leader with increasing country market coverage and high global share but less than the leader.

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iv. Global Follower Strategy

Rapid imitation of leader or challenger with moderate country market coverage and emphasis on price sensitive markets.

v. Global Niche Strategy 1

Rapid penetration of narrow market segments by selective targeting of country markets and small share of overall market.

vi. Global Niche Strategy 2

Infiltration - slow penetration of selected narrow markets with focus on selected country markets and low share of the overall market.

vii. Global Collaborator Strategy

Innovations in research and development of technologies, products and markets, set standards and shares them with other firms.

Lesson 42

A. E-MARKETING

a. Internet Marketing:

Internet was used for the first time in 1982. It began to expand in 1991 with the World Wide Web. Internet technologies pose managerial implications to business.

b. Major Forces Shaping the Digital Age:

Digitalization and Connectivity: The flow of digital information requires connectivity which is best provided by the Intranets, Extranets, and the Internet.

c. The Role of the Internet in Marketing:

It is useful for marketers in different ways like:

- It is the fastest growing communication technology.
- Within the first five years, 50 million people were connected.
- Capable of interactively sharing information in real time.

d. Electronic Commerce

- E-Commerce- The process of conducting business transactions over electronic networks, mostly the Internet
- E-Marketing : The process of utilizing Information Technology in the conception, distribution, promotion, and pricing of goods, services, and ideas to create exchanges that satisfy individual and organizational objectives
- E-Business: The use of Information Technology in all business tasks including production, marketing, accounting, finance, and human resources management

e. Rules of E-Marketing:

General rules of E. Marketing are:

1. Power Shift from sellers to buyers
2. Increasing Velocity
3. Death of Distance
4. Global reach
5. Time compression
6. Knowledge management is key

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7. Market deconstruction
8. Intellectual capital rules

f. Buyer Benefits of E-Commerce

- Convenience
- Easy and private
- Greater product access/selection
- Access to comparative information
- Interactive and immediate

g. Seller Benefits of ECommerce:

- Relationship building
- Reduced costs
- Increased speed and efficiency
- Flexibility
- Global access, global reach

h. Basic-Forms

i. Virtual Business:

There are two types of the electronic commerce one is termed a s business to business and second is termed as business to business electronic commerce.

j. Key Success Factor for Internet Businesses

Success of the internet business depends upon the offer of value and customer driven products adjusting the prices according to products values, going for specific customers instead of the mass marketing, distributing the products according to customer's convenience.

k. Internet Marketing Objectives

The main objectives of the internet marketing are, to have online market share, to increase the sales level, make customers to make repeat purchases, market positioning, image building of the company and creation of awareness

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Lesson œ 43

A. Social Criticisms of Marketing

Marketing receives much criticism. Some of this is justified and some is not. Social critics claim that certain marketing practices hurt individual consumers, society as a whole, and other business firms.

B. Marketing Ethics

Marketing Ethics are marketers' standards of conduct and moral values.

C. Enlightened Marketing

Enlightened marketing is a philosophy holding that a company's marketing should support the best long-run performance of the marketing system.

Lesson œ 44

Marketing

Marketing involves having the right product available in the right place at the right time and making sure that the customer is aware of the product.

Core Marketing Concepts:

1. Needs, wants, and demands
2. Products and Services
3. Value, satisfaction, and quality
4. Exchange, transactions, and relationships
5. Markets

Simple Marketing System

1. Producer/ seller
2. Consumer
3. Communication
4. Product/ service
5. Money
6. Feedback

Customer Relationship Management

Customer relationship management (CRM) has been defined narrowly as a customer database management activity.

The Production Concept

The production concept holds that consumers will favor products that are available and highly affordable and that management should, therefore, focus on improving production and distribution efficiency.

The Product Concept

the product concept states that consumers will favor products that offer the most quality, performance, and features, and that the organization should, therefore, devote its energy to making continuous product improvements.

The Selling Concept

The selling concept is the idea that consumers will not buy enough of the organization's products unless the organization undertakes a large scale selling and promotion effort.

The Marketing Concept

The marketing concept holds that achieving organizational goals depends on determining the needs and wants of target markets and delivering the desired satisfactions more effectively and efficiently than competitors do.

The Societal Marketing Concept

the societal marketing concept holds that the organization should determine the needs, wants, and interests of target markets.

Boston Consulting Group

Using the matrix, four types of SBUs can be identified:

a). Stars are high growth, high-share businesses or products (they need heavy investment to finance their rapid growth potential).

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b). Cash Cows are low-growth, highshare businesses or products (they are established, successful, and need less investment to hold share).

c). Question Marks are low-share business units in high-growth markets (they require a lot of cash to hold their share).

d). Dogs are low-growth, low-share businesses and products (they may generate enough cash to maintain them, but do not have much future).

I. Product/Market Expansion Grid

The product/market expansion grid is a portfolio planning tool for identifying company growth opportunities through:

1). Market Penetration—making more sales to present customers without changing products in any way (example, adding more stores).

2). Market Development—a strategy for company growth by identifying a developing new markets for current company products (example, demographic and geographical markets).

3). Product Development—a strategy for company growth by offering modified or new products to current markets.

4). Diversification—a strategy for company growth by starting up or acquiring businesses outside the company's current products and markets.

J. Marketing Process

The marketing process is the process of analyzing market opportunities, selecting target markets, developing the marketing mix, and managing the marketing effort.

K. Marketing Environment

The marketing environment consists of all the actors and forces outside marketing that affect the marketing management's ability to develop and maintain successful relationships with its target customers.

L. Marketing Information System and Marketing Research

In carrying out their marketing responsibilities, marketing managers need a great deal of information. "Information is power" is a legitimate statement.

Marketing research:

Marketing research is the systematic design, collection, analysis, and reporting of data and findings relevant to a specific marketing situation facing an organization.

Step 1—Problem Definition and the Research Objectives

Step 2— Developing the Research Plan

Step 3 — Implementation

Step 4— Interpretation and Reporting of Findings

M. Consumer Buying Behavior

Markets (and those which they serve) have to be understood before marketing strategies can be developed. The consumer market buys goods and services for personal consumption. With respect to the individuals in the consumer market, the behavior of the consumer is influenced by the buyer's decision process.

Consumer Black Box

a) Consumers make many buying decisions every day.

b) A model of consumer behavior helps managers answer questions about what consumers buy, where they buy, how and how much they buy, when they buy, and why they buy..

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c) The central question is: How do consumers respond to various marketing efforts the company might use.

d) The stimulus-response model of buyer behavior shows that marketing (made up of the four P's—product, price, place, and promotion) and other stimuli (such as the economic, technological, political, and cultural environments) center on the consumer's "black box" and produce certain responses.

e) Marketers must figure out what is "in" the consumer's "black box."

Market Segmentation: "Dividing a market into distinct groups with distinct needs, characteristics, or behavior who might require separate products or marketing mixes".

Lesson œ 45

New Product development Process

1. Idea Generation

The first step in the new-product development process is idea generation, which is the systematic search for new product ideas.

2. Idea Screening

The second step in the new-product development process is idea screening which involves screening new product ideas in order to spot good ideas and drop poor ones as soon as possible.

3. Concept Development and Testing

The third stage in the process is concept development and testing. Concepts may take on several forms:

1). A product idea is an idea for a possible product that the company can see itself on the market.

2). A product concept is a detailed version of the new-product idea stated in meaningful consumer terms.

3). A product image is the way consumers perceive an actual or potential product.

4. Marketing Strategy Development

The fourth step is marketing strategy development which involves designing an initial marketing strategy for a new product based on the product concept.

5. Business Analysis

The next step is business analysis, which is a review of the sales, costs, and profit projections for a new product to find out whether these factors satisfy the company's objectives.

6. Product Development

The sixth step is product development, which involves developing the product concept into a physical product in order to ensure that the product idea can be turned into a workable product.

7. Test Marketing

The seventh step is test marketing, which is the stage at which the product and marketing programs are introduced into more realistic marketing settings. Test marketing lets the marketer get experience with marketing the product.

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8. Commercialization

The eighth and final step in the new-product development process is commercialization. This step is introducing a new product into the market.

B. Product life Cycle Strategies

It involves five distinct stages:

a. The product development stage begins when the company finds and develops a new product idea. During product development, sales are zero and the company's investment costs mount.

b. The introduction stage is a period of slow sales growth as the product is being introduced in the market. Profits are nonexistent in this stage because of heavy expenses of product introduction.

c. The growth stage is a period of rapid market acceptance and increasing profits.

d. The maturity stage is a period of slowdown in sales growth because the product has achieved acceptance by most potential buyers. Profits level off or decline.

E. The decline stage is the period when sales fall off and profits drop.

Price

–The amount of money charged for a product or service, or the sum of the values that consumers exchange for the benefits of having or using the product or service".

Break-even point

Consumer weighs the price against the perceived value of using the product. If the price exceeds the sum of the value, consumers will not buy the product. Consumers differ in the values they assign to different product features and marketers often vary their pricing strategies for different price segments.

Break-Even Analysis

Break-even pricing (target profit pricing) is an approach to setting price to breakeven on the cost of making and marketing products or to make the target (desired) profit It uses a break-even chart that shows the total cost and total revenue at different levels of sales volume.

Retailing and Wholesaling

Retailing and wholesaling consist of many organizations bringing goods and services from the point of production to the point of use. Retailing by definition includes all the activities involved in selling goods and services directly to final consumers for their personal, non-business use.

Promotion

Modern marketing calls for more than just developing a good product, pricing it attractively, and making it available to target customers.

Advertising

A paid form of non-personal communication about an organization and/or its products to a target audience through a mass medium.

Personal Selling

A paid form of non-personal communication about an organization and/or its products to a target audience through a mass medium.

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Sales Promotion

Demand-stimulating activity designed to supplement advertising and facilitate personal selling.

Public Relations

A planned communication effort by an organization to contribute to generally favorable attitudes and opinions toward an organization and its products.

Direct Marketing

Direct connections with carefully targeted individual consumers to obtain an immediate response and cultivate lasting customer relationship

Global Market Place

The world is shrinking rapidly with the advent of faster communication, transportation, and financial flows. In the twenty-first century, firms can no longer afford to pay attention only to their domestic market, no matter how large it is. Many industries are global industries, and those firms that operate globally achieve lower costs and higher brand awareness.

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